

Assignment 5 Report

What Voters Care About in the 2026 Midterms, How the Mood Around It Tracks the Odds of a Democratic Sweep, and Which Stocks Move With It

FRE-GY 7871 A · NLP and the Investment Process · Fall 2026

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GitHub repo: <https://github.com/Yuri48/FinEng> (folder HW5)

Data as of: 5 October 2026 (text corpora); prediction markets and prices through 6 October. Election day is 3 November.

1. Summary

What voters talk about. When people write about the midterms, they mostly write about the election itself. In the 45,853 discovery documents, 42 percent are campaign and horse-race talk (polls, races, primaries, money, mobilisation) and another 25 percent are about whether the election will be free and fair: fears that Trump will cancel, "nationalise" or rig the midterms, mail-voting restrictions, the SAVE Act, federal agents at polling places. Among the documents that are about an issue, election integrity takes 49 percent of the social-media conversation and 31 percent of the headlines. The policy issues behind it are, in order of social-media attention, **corruption and accountability** (12 percent: Epstein files, investigations, impeachment), **the Iran war and foreign policy** (11 percent), **the economy and cost of living** (7 percent, led by gas and diesel prices), **immigration and ICE** (5 percent), then AI and data centres, health care and tariffs (2 percent each). The news ranks the economy and redistricting higher; the September polls rank the economy first. I track eight key issues: election integrity, corruption, the Iran war, the economy, immigration, health care, AI and data centres, and tariffs.

Sentiment and the odds. The sentiment module validates well: the tweet-trained RoBERTa matches 73.5 percent of 200 labelled documents on three-class tone (VADER: 49 percent, barely above the 47 percent majority baseline), and the aspect-based partisan score has the right sign on 92 percent of the partisan documents. The environment it measures is overwhelmingly negative and anti-incumbent: 77 percent of the 34,297 documents that name a party lean against Republicans. That is consistent with what the event contracts priced, a rise in $P(\text{Democratic sweep})$ from 33 percent on 1 January to 65 percent on 5 October. But the *weekly variation* of the composite Key-Topic Sentiment Index carries almost no information about the odds: its correlation with $P(\text{sweep})$ is 0.38 in levels ($p = 0.07$) and -0.09 in weekly changes, and neither Granger-causes the other. One issue is the exception. **Economy sentiment moves with the odds:** in weeks when talk about the economy turns more negative, the probability of a sweep rises ($r = -0.29$ in weekly changes, Newey-West $t = -2.4$), and the partisan direction of economic talk tracks the odds in levels ($r = 0.53$, $t = 5.3$). Election integrity, half of the conversation, shows nothing in changes.

Stocks. A long-short "midterm basket" of 47 stocks in twelve policy channels (ten of them fixed before looking at any return) lost 17.8 percent market-adjusted in 2026 while the odds of a sweep doubled, the opposite of what the policy logic predicts. Week to week it has no relation to the odds (election beta -0.09 , $t = -0.6$) or to sentiment; its only significant driver is oil (-1.5 percent per 10 percent rise in Brent, $t = -2.6$), because the Iran war lifted the oil names on its short side. Two channels did trade the election: **immigration detention** (GEO, CoreCivic) and **domestic steel** fell in weeks when the sweep odds rose

($t = -1.9$ and -1.8). These are the two channels whose revenue depends most directly on what Congress funds or extends.

Conclusion. Online sentiment about the midterms is a good thermometer of the *direction* of the environment and of *which issue* matters, which is the economy, not the issue that dominates the conversation. It is not a leading indicator of the odds once prediction markets exist, and the equity market has not priced a Democratic sweep into the broad policy-exposed cross-section: with Trump keeping the veto, a sweep buys oversight and appropriations leverage, and only the stocks that live on appropriations and tariffs respond.

2. Data

Text. Every document mentions the midterms. News headlines come from Google News RSS in two stages. Stage 1 (discovery) runs two queries a day that name no issue ("midterms" and "voters + congress/midterms/house race/senate race"), so the topic model, not my query list, decides what the election is about. Stage 2 runs one query a day per key issue found in stage 1 (each combines "midterms OR voters" with the issue's terms) to give the sentiment module enough headlines per issue per week. Social media come from Bluesky (the top 100 English posts a day matching "midterms"), Mastodon (the midterm hashtags on mastodon.social), Reddit (comments mentioning "midterm" in eight communities, two left-leaning, three centrist and three right-leaning, through the Arctic Shift archive) and Lemmy. A social post is kept only if its own text contains "midterm"; cross-posts and bot re-posts are dropped as exact duplicates. Two collection problems had to be fixed and are worth recording. Google ignored the date operators for the first, longer version of the stage-2 democracy query and returned the same day's results for every date; every headline is now kept only if it was published within a day of the date it was requested for, and the democracy query was re-run in a shorter form. And the Reddit archive's full-text search was rate limited to about one call a minute, so Reddit contributes a random subset of the planned windows.

Table 1. Corpus, 1 January - 5 October 2026

Source	What	Documents	Days covered	Median length (chars)
News headlines (discovery)	Google News RSS, 2 issue-free election queries a day	11,913	278	72
Bluesky	Top 100 English posts a day matching 'midterms'	24,174	278	137
Mastodon	mastodon.social tag timelines: #midterms, #midterms2026, #midterm, #election2026, #2026midterms	3,491	276	263
Reddit	Comments mentioning 'midterm' in 8 political subreddits (sampled windows, Arctic Shift archive)	2,094	195	238
Lemmy	lemmy.world comments and posts mentioning 'midterm'	4,181	278	350
News headlines (issue queries)	Google News RSS, 7 issue-anchored election queries a day (stage 2)	28,285	278	
Total		74,138		

Event contracts. $P(\text{Democratic sweep})$ is the probability that Democrats control both chambers after the election. Polymarket lists it as the "D Senate, D House" outcome of *Balance of Power: 2026 Midterms* (five mutually exclusive outcomes, USD 18.8 million traded, open since July 2025); Kalshi lists it as "Democrats sweep" in its *Congress balance of power combo* (open since 11 December 2025). I take the last print of each US/Eastern day (Kalshi: the bid-ask midpoint) and average the two venues. Their weekly levels correlate at 0.97 and their weekly changes at 0.63. For the stock regressions I use the hourly print at 16:00 ET on each trading day, so that a day's change in the probability lines up with the day's close-to-close return.

Equities. Yahoo Finance adjusted closes for 47 stocks (Section 6), SPY as the market, Brent and the 10-year yield as controls. 2025 is the estimation window for each stock's market model; 2026 is the event window.

3. What voters care about: topic modelling

Method. I fit BERTopic to 38,893 stage-1 documents (discovery headlines and social posts). Each document is embedded with `all-mpnet-base-v2` (768 dimensions); UMAP reduces the embeddings to five dimensions (15 neighbours, cosine metric) and HDBSCAN clusters them (minimum cluster size 90, minimum samples 10). HDBSCAN leaves a large share of short posts unassigned (about a third in a trial run); I reassign a noise document to the nearest topic centroid only when the cosine similarity is at least 0.40, which leaves 162 documents as noise. (A loader bug left the second Bluesky collection file, 6,960 posts from 16 July to 5 October, out of the fit; rather than refit and relabel, I assigned those posts to the fitted topics with the same nearest-centroid rule, cosine $\geq$ 0.40, which placed all but 0.6 percent. The discovery corpus is therefore 45,853 documents.) Each cluster is described by class-based TF-IDF on unigrams and bigrams (with the election words themselves, "midterm(s)", "election(s)", "2026", removed, since every document contains them) and by a maximal-marginal-relevance keyword list. The result is 89 topics.

HDBSCAN does not name its clusters, and 89 clusters are too many to correlate with anything, so the next step uses a large language model as the labeller, the step BERTopic's LLM representations automate. Claude read each cluster's keywords and six of its documents (three representative, three random) and gave it a short label and one of 13 categories: eight voter issues, three other issue areas (redistricting and voting rights; abortion and social issues; Congress, shutdown and fiscal policy), "campaign and horse race" (polls, races, primaries, candidates, money, mobilisation) and "other/noise". Appendix A lists every cluster with its keywords, label and category, so each assignment can be checked. Impeachment threads went to "corruption and accountability" rather than "campaign": they are about what a Democratic House would do to hold the administration to account. Mixed or format-driven clusters (a news bot's summaries, hashtag spam, podcast round-ups, non-English posts, and a cluster about the Indian National Congress's voter-roll dispute that the keyword "Congress" pulled in) went to "other/noise".

Salience. The salience of an issue is its share of the documents that are about an issue (campaign/horse-race and noise excluded), computed separately for each source. The voter measure averages the four social platforms with equal weight, so that Bluesky's volume does not decide the ranking alone, and the news measure is the headline share. I then compare the ranking with the issue questions of September polls.

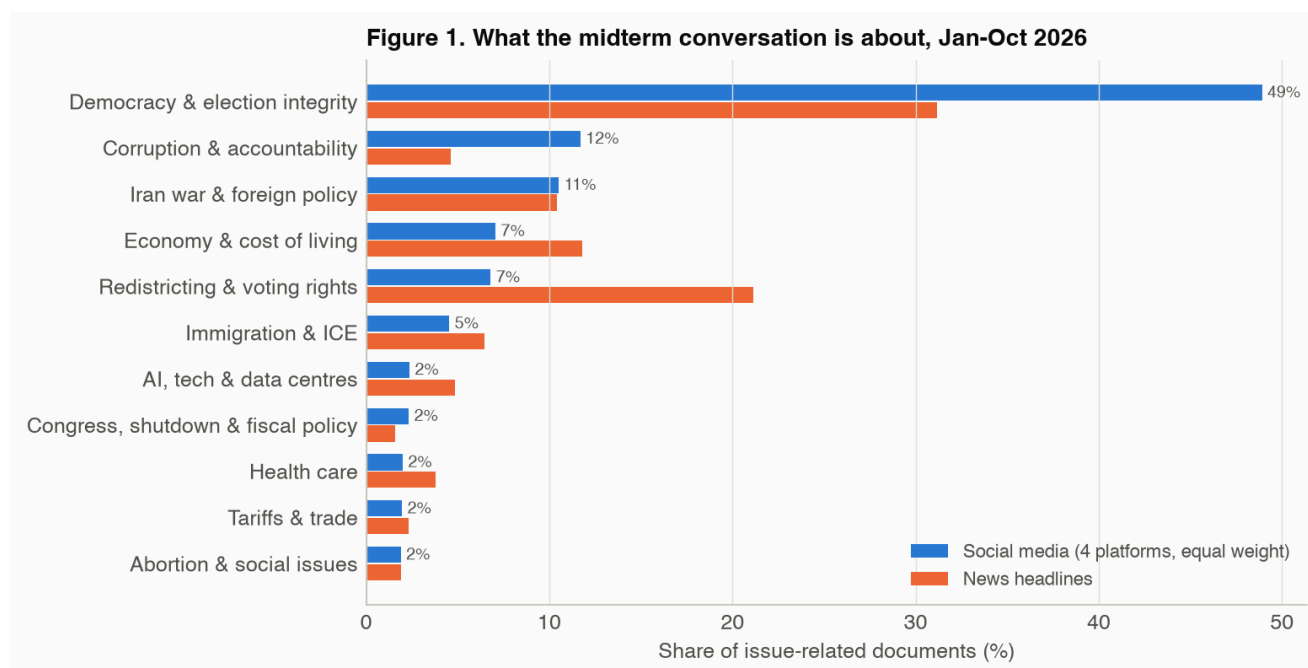


Table 2. Issue salience: share of issue-related documents by source (campaign/horse-race and noise topics excluded)

Issue	Social share (%)	News share (%)	Bluesky (%)	Mastodon (%)	Reddit (%)	Lemmy (%)	Rank (social)	Rank (news)	BGSU poll, Sep 2026
Democracy & election integrity	48.9	31.2	52.7	38.8	55.3	48.8	1	1	threats to democracy 24%
Corruption & accountability	11.7	4.6	13.3	15.5	10.2	7.8	2	7	government corruption 30%
Iran war & foreign policy	10.5	10.4	6.8	10.1	12.1	13.1	3	4	Middle East conflict 10%, foreign affairs 6%
Economy & cost of living	7.1	11.8	6.1	9.8	4.7	7.6	4	3	economy 38%, inflation 31%
Redistricting & voting rights	6.8	21.1	7.4	8.4	5.7	5.7	5	2	(not listed)
Immigration & ICE	4.5	6.4	4.7	4.6	3.5	5.3	6	5	immigration 25%
AI, tech & data centres	2.4	4.8	1.1	4.8	0.6	2.9	7	6	AI 8%, data centres 5%
Congress, shutdown & fiscal policy	2.3	1.6	2.2	0.6	3.8	2.6	8	11	
Health care	2.0	3.8	2.6	2.2	1.1	2.0	9	8	health care 22%
Tariffs & trade	2.0	2.3	1.5	1.9	2.3	2.1	10	9	(not listed; taxes/fiscal 12%)
Abortion & social issues	1.9	1.9	1.6	3.2	0.6	2.0	11	10	abortion 6%, LGBTQ+ 3%

Social share = equal-weighted mean of the four platforms' shares. BGSU poll: national likely voters, published 9 September 2026, up to three issues each.

Results. Figure 1 and Table 2 give the ranking. Three things stand out.

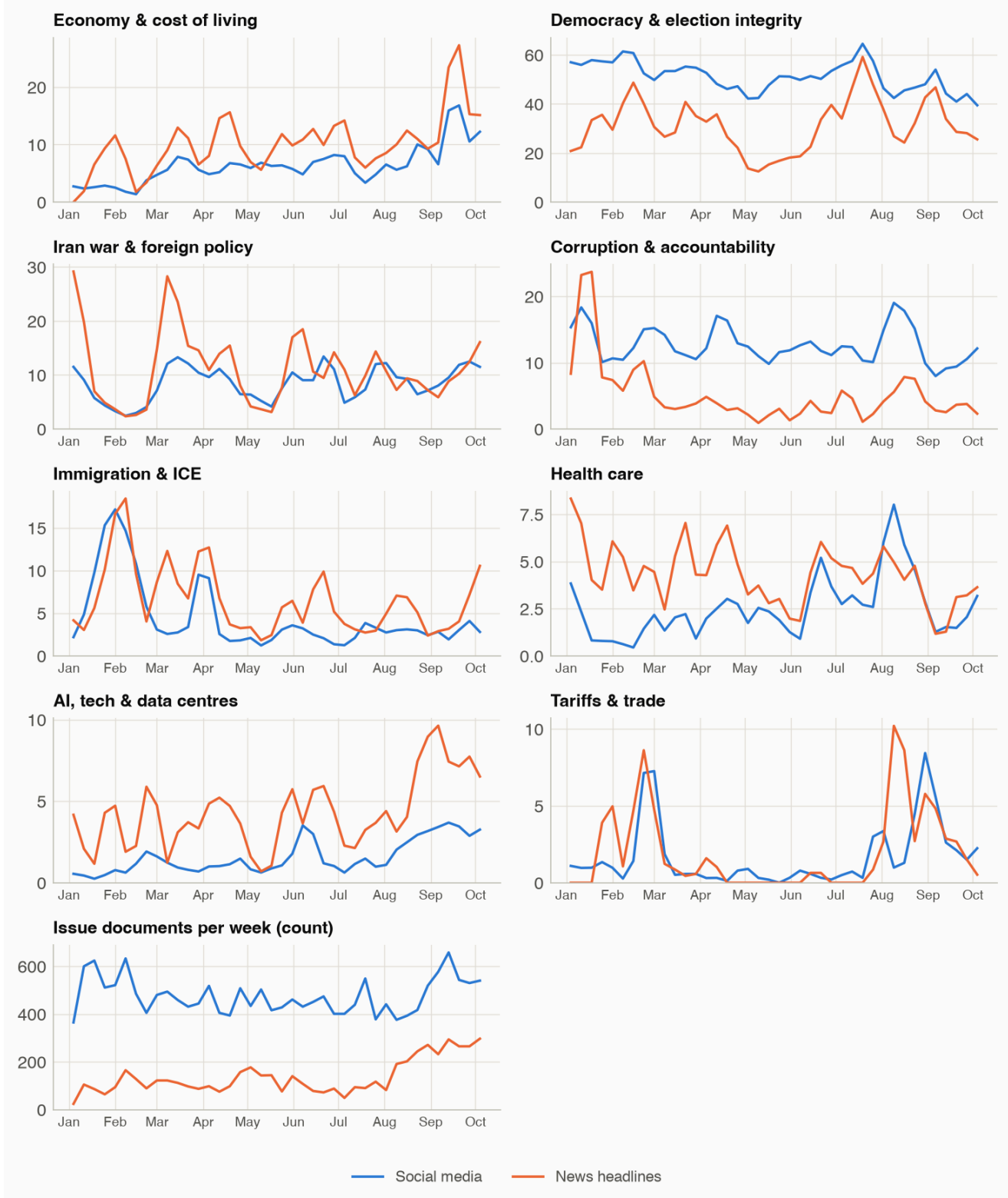
First, the election is the issue. Excluding campaign talk, election integrity takes 49 percent of social-media issue documents and 31 percent of issue headlines, and it ranks first on every platform (39 percent on Mastodon to 55 percent on Reddit). Its largest clusters are "Will Trump cancel the midterms?" (2,315 documents in the fit), "they're trying to steal it" (2,200), Trump's plan to nationalise or subvert the election (1,185), election interference by federal agencies (680), mail voting (817), the SAVE Act, voter ID and DOJ/DHS voter-roll purges. This is the "threats to democracy" item that 24 percent of likely voters picked in the September BGSU poll, but online it is louder than any poll suggests.

Second, the policy issues rank differently in news and social media. Social media give corruption and accountability (Epstein files, investigations, impeachment) 12 percent against 5 percent in the news, and the news gives redistricting 21 percent (court rulings on maps in Virginia, Missouri, Alabama, Louisiana, Florida) against 7 percent on social media. The economy gets 12 percent of headlines and 7 percent of posts. Inside the economy, the largest cluster is gas and diesel prices, which the Iran war and the closure of Hormuz pushed to record highs, then affordability, food prices and Trump's promise of a \$5,000 "dividend" if Republicans keep Congress.

Third, compared with polls, the online conversation under-weights the economy. The BGSU poll has the economy (38 percent) and inflation (31 percent) first, then corruption (30), immigration (25), threats to democracy (24) and health care (22); Rasmussen and Pew also have the economy first. Part of the gap is mechanical: a document is in the corpus only if it mentions the midterms, which selects talk about the election itself, while economic grievance is usually expressed without naming the election. Part is the platforms: the social sample leans left (Section 8), and left-of-centre users write more about democracy and corruption. I therefore use the topic model to decide *which* issues to track and polls to check the order. The eight key issues are the top six policy issues of Table 2 that also appear in the polls (election integrity, corruption, Iran war, economy, immigration, health care), plus AI and data centres (larger than tariffs in both the corpus and the BGSU poll, and the link to the AI-power stocks in Section 6) and tariffs (small in the conversation but the most direct link between the election and stock prices). Redistricting is reported but not tracked: it is a process story that the news covers and voters do not name.

The timing of attention (Figure 2) follows the news. Immigration peaks in January and February, after fatal shootings by federal agents during the enforcement surge in Minneapolis and the protests that followed; the Iran war peaks in March and again from late summer; tariffs spike after the Supreme Court struck most of them down on 20 February and again in August; and the economy's share roughly doubles between August and the end of September, as fuel prices became the campaign's main economic story.

Figure 2. Weekly share of issue-related documents by key issue (% , 2-week average)



4. Measuring sentiment around the key issues

Three measures per document. (1) *Tone*: `cardiffnlp/twitter-roberta-base-sentiment-latest`, a RoBERTa model fine-tuned on tweets, which suits the social register and handles headlines; the score is $P(\text{positive}) - P(\text{negative})$. (2) *VADER*, the standard lexicon baseline. (3) *Partisan direction*. Tone alone does not say who is being criticised: "Trump's tariffs are crushing farmers" and "Democrats are crushing it" have opposite tone and the same partisan meaning. For every document that names a

Republican-side entity (Trump, Republicans, GOP, MAGA, Vance, Speaker Johnson, Thune, cabinet members) or a Democratic-side one (Democrats, DNC, Schumer, Jeffries, Harris, Newsom, ...), an aspect-based sentiment model (yangheng/deberta-v3-base-absa-v1.1) scores the sentiment *toward* the first-named entity on each side. The document's pro-Democratic score averages +tone toward Democrats and -tone toward Republicans over the sides it names; it is defined for the documents that name a side (about half of them).

Validation. I drew a stratified random sample of 200 documents (50 discovery headlines, 25 issue headlines, 40 Bluesky, 30 Mastodon, 30 Lemmy and 25 Reddit posts) and had each labelled for tone (-1/0/+1) and partisan direction (+1 favours Democrats or criticises Trump/GOP, -1 the reverse, 0 neutral or unclear). The labels were produced by an LLM reading each text (see AI_USE.md), so Table 3 measures agreement with an LLM annotator rather than with a human panel.

From documents to a weekly index. For each key issue k and week w , I subtract from every document's score the mean score of its source on that issue (so that a platform's baseline, Bluesky being far more negative than headlines, cannot show up as a change), average within each source-issue-week cell with at least five documents, and then average the sources with equal weight. The *Key-Topic Sentiment Index* (KTSI) is the average of the issue series weighted by each issue's social-media salience (Table 2), renormalised over the issues observed that week. It comes in two versions, tone and pro-Democratic, plus an equal-weighted variant and a VADER variant for robustness.

Table 3. Validation against 200 labelled documents

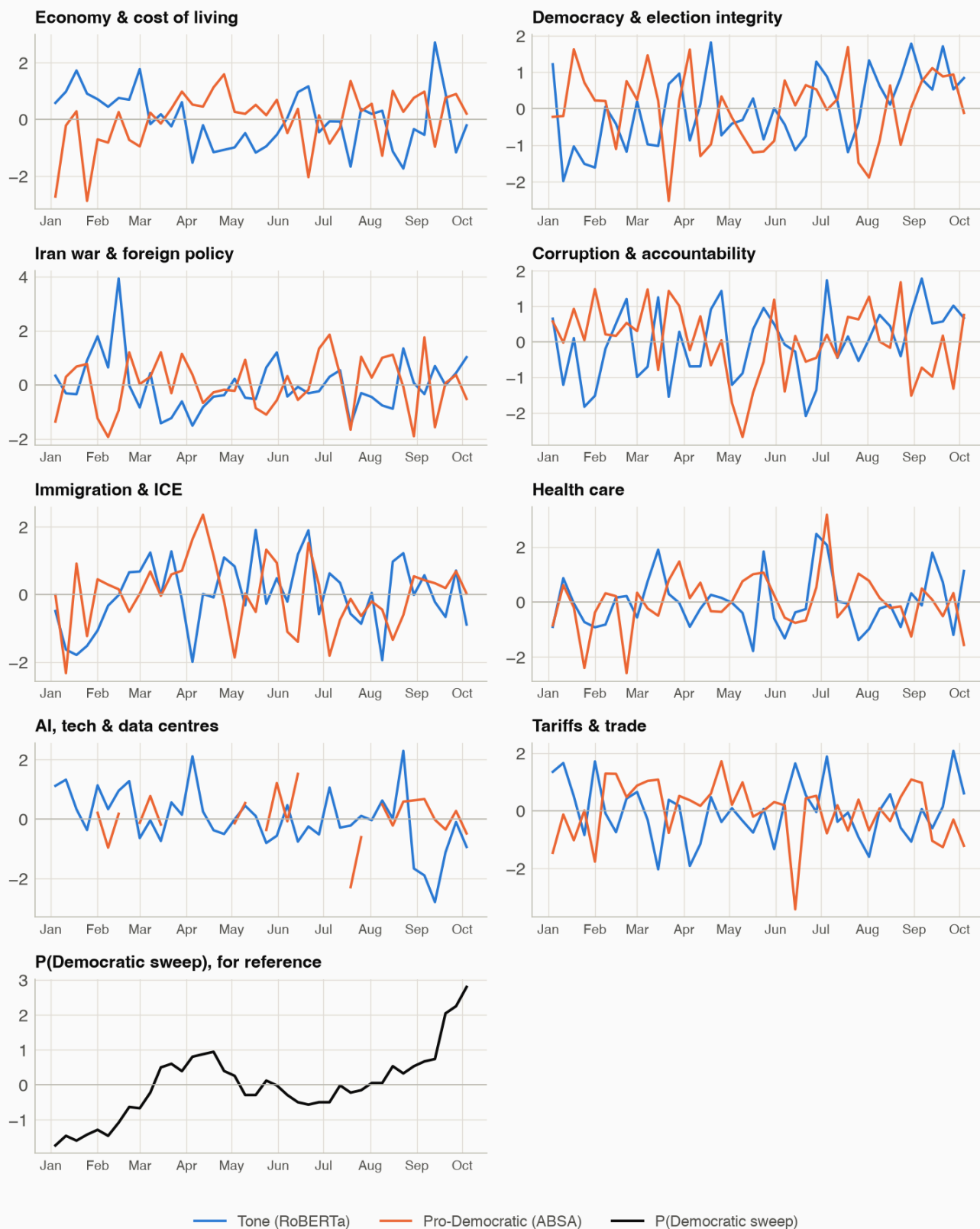
Tone measure	n	Spearman ρ	3-class accuracy	Macro-F1	Majority-class baseline
RoBERTa tone	200	0.70	0.73	0.74	0.47
VADER tone	200	0.41	0.49	0.46	0.47

Partisan measure	n scored	Coverage	Spearman ρ	n labelled ± 1	Sign accuracy
ABSA pro-Democratic	109	0.55	0.54	86.00	0.92
Naive tone x party	97	0.48	0.45	77.00	0.87
RoBERTa tone (as proxy)	200	1.00	-0.44	117.00	0.80

RoBERTa tone agrees with the labels far better than VADER (Spearman 0.71 against 0.41; 73.5 percent three-class accuracy against 49 percent), and its errors are almost all between adjacent classes (no negative document is scored positive, and no positive one negative). For partisan direction, the aspect-based score gets the sign right on 92 percent of the 86 labelled partisan documents it covers, against 87 percent for the naive "flip the tone by the party mentioned" rule. Even document tone alone gets the partisan sign right 80 percent of the time, because in this corpus negativity is mostly aimed at the incumbent party. Of the 200 sampled documents, 109 are labelled pro-Democratic or critical of Trump/GOP and 8 the reverse; two (1 percent) are about school midterm exams, a measure of how little noise the "midterm" filter lets in.

The KTSI weights follow social-media salience: election integrity 0.55, corruption 0.13, Iran war 0.12, economy 0.08, immigration 0.05, AI and data centres 0.03, health care 0.02, tariffs 0.02. Figure 3 shows the eight weekly issue series. They are noisy, as weekly averages of a few dozen to a few hundred documents are. The two measures of the same issue are related but distinct: tone says how angry the conversation is, partisan direction says at whom.

Figure 3. Weekly sentiment by key issue (z-scores, source-demeaned)



5. Sentiment and the probability of a Democratic sweep

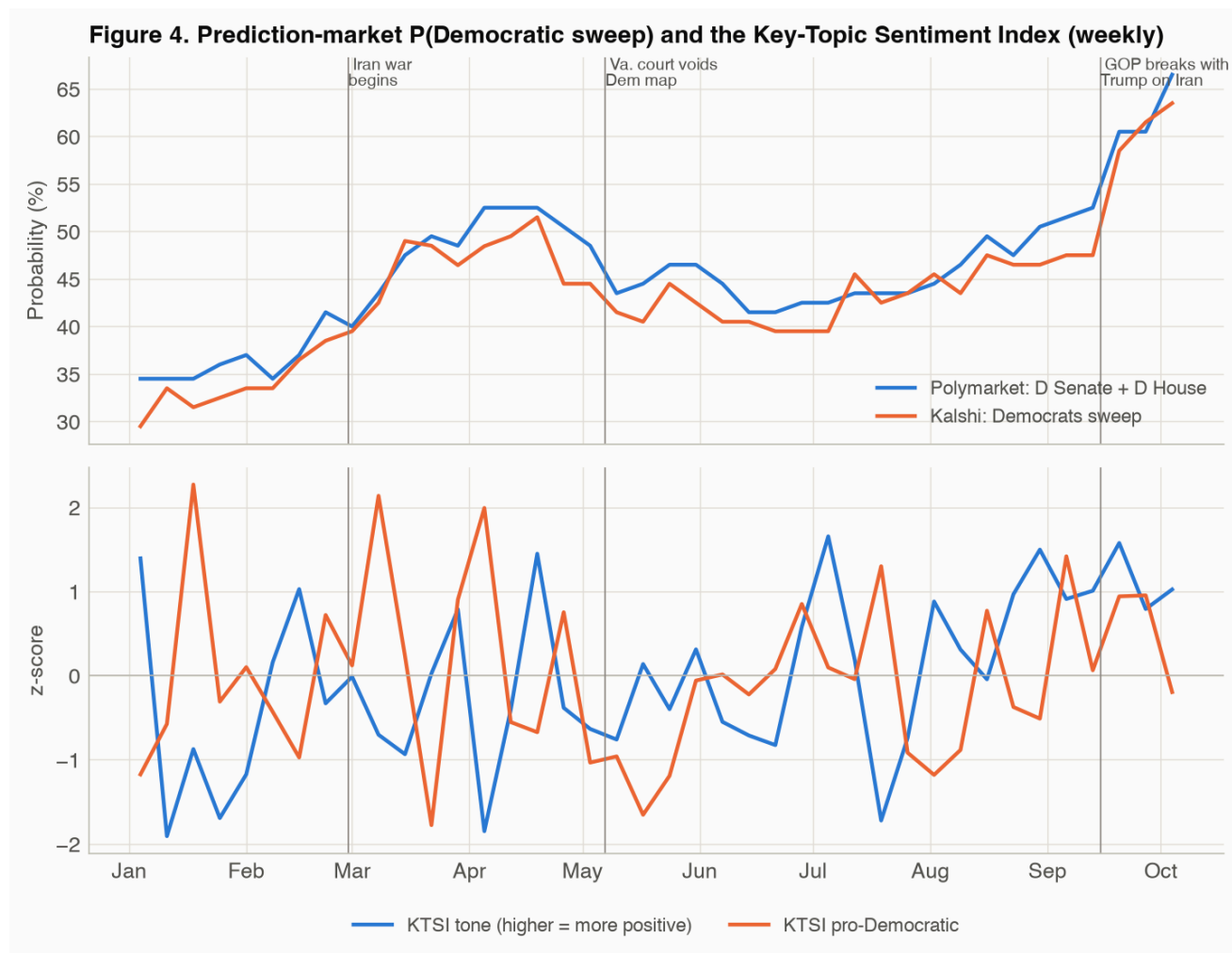


Table 4. Correlation of each sentiment index with P(Democratic sweep), weekly, 4 January - 4 October 2026

Index	r (levels)	p (levels)	NW t (levels)	r (weekly changes)	NW t (changes)	Weeks
KTSI tone (RoBERTa, salience-weighted)	0.38	0.34	1.83*	-0.09	-0.66	40
KTSI pro-Democratic (ABSA, salience-weighted)	0.12	0.11	0.95	-0.02	-0.17	40
KTSI tone (VADER)	-0.11	-0.04	-1.12	-0.01	-0.05	40
KTSI tone, equal weights	-0.04	-0.04	-0.23	-0.09	-0.93	40
KTSI pro-Democratic, equal weights	0.24	0.28	2.04**	-0.05	-0.51	40
Tone: Economy	-0.38	-0.51	-1.93*	-0.29	-2.43**	40
Tone: Democracy	0.47	0.46	2.81***	-0.02	-0.13	40
Tone: Iran war	-0.18	-0.21	-1.11	-0.06	-0.48	40
Tone: Corruption	0.35	0.37	2.13**	-0.01	-0.09	40
Tone: Immigration	0.14	0.15	0.67	-0.11	-0.88	40
Tone: Health care	0.17	0.21	1.31	0.17	1.20	40
Tone: AI/data centres	-0.37	-0.40	-2.13**	0.04	0.20	40
Tone: Tariffs	-0.13	-0.22	-0.62	-0.05	-0.35	40
Pro-Dem: Economy	0.53	0.59	5.28***	0.20	1.52	40
Pro-Dem: Democracy	-0.03	-0.03	-0.19	-0.09	-0.83	40
Pro-Dem: Iran war	0.06	0.03	0.58	0.12	0.98	40
Pro-Dem: Corruption	-0.15	-0.18	-1.11	0.03	0.23	40
Pro-Dem: Immigration	0.27	0.30	2.67***	-0.04	-0.33	40
Pro-Dem: Health care	0.00	0.06	0.02	-0.32	-3.62***	40

Index	r (levels)	p (levels)	NW t (levels)	r (weekly changes)	NW t (changes)	Weeks
Pro-Dem: AI/data centres	-0.20	-0.27	-1.54	-0.09	-0.64	27
Pro-Dem: Tariffs	-0.02	0.00	-0.08	-0.09	-0.86	40

Levels: Pearson r, Spearman ρ , and the Newey-West (4 lags) t-statistic of the slope of $z(P)$ on $z(\text{index})$. Changes: Pearson r of weekly changes and the Newey-West (2 lags) t-statistic. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. Issue rows use the issue's own weekly series.

Levels. The composite tone index co-moves with the sweep probability ($r = 0.38$, Newey-West $t = 1.8$, $p = 0.07$): the conversation got somewhat less negative as Democrats' chances improved, most visibly from August. The pro-Democratic index does not ($r = 0.12$), and the VADER version shows nothing. Several issue series correlate with the odds in levels with the signs one would expect: the partisan direction of economic talk ($r = 0.53$, $t = 5.3$) and of immigration talk (0.27 , $t = 2.7$) rise with the odds, and economic tone falls (-0.38 , $t = -1.9$). But level correlations between two trending series are weak evidence, and the sample is 40 weeks.

Changes. In weekly changes, the composite indices are uncorrelated with the odds (tone -0.09 , pro-Democratic -0.02 , equal-weighted versions -0.05 to -0.09 ; all t-statistics below 1), and no composite index Granger-causes the odds or is Granger-caused by them (Table 5). The lead-lag correlations show no systematic pattern: the few that cross the ± 0.32 band (for example -0.47 at a four-week lag for the pro-Democratic index) are isolated and alternate in sign, which is what 171 correlations on 39 observations produce by chance.

The economy is the exception. Economic tone is the one issue series whose weekly changes move with the odds with the expected sign: weeks in which economic talk turns more negative are weeks in which the probability of a sweep rises ($r = -0.29$, Newey-West $t = -2.4$, $p = 0.015$; Spearman -0.25 ; dropping any single week leaves r between -0.33 and -0.18). The largest contribution is the week to 20 September, when the sweep probability jumped 9.5 points and economic tone fell. Economic partisan direction points the same way ($r = 0.20$, $t = 1.5$). Election integrity, half of the conversation and 55 percent of the index weight, shows nothing in changes ($r = -0.02$), which is why the salience-weighted index fails: it weights the issue that voters talk about most and that moves the odds least.

One other issue series is significant, with the opposite sign: the partisan direction of health-care talk falls in weeks when the sweep probability rises ($r = -0.32$, $t = -3.6$), robust to dropping any week. A plausible reading is reverse causation: the administration answered bad weeks with health-care announcements (the \$90 checks to seniors in the week to 4 October, one of the three weeks that drive the correlation, is an example), which would make health coverage friendlier to Trump exactly when the odds moved against him. With 32 issue-level change tests, one or two significant results are expected by chance, and this one is not part of the conclusions.

Where the odds actually moved. The sweep probability rose in steps tied to events (Figure 4): from 33 to about 40 percent by late February (the Supreme Court tariff ruling, Trump's approval at new lows), to 52 percent in April after the Iran war began, back to 41 to 43 percent in May and June after Virginia's Supreme Court voided the Democratic map and Republican-drawn maps survived in other states, and from 45 to 65 percent between August and October as diesel prices hit records, Republican nominees broke with Trump on the war, and the generic ballot opened to D+12. The Senate is the marginal chamber: on 5 October Kalshi priced a Democratic House at 91 percent and a Democratic Senate at 65 percent, so the sweep contract is in effect a Senate contract. The text measures reacted to the same events, but the prediction markets moved first and further.

Figure 5. Weekly changes: sentiment index vs P(Democratic sweep)

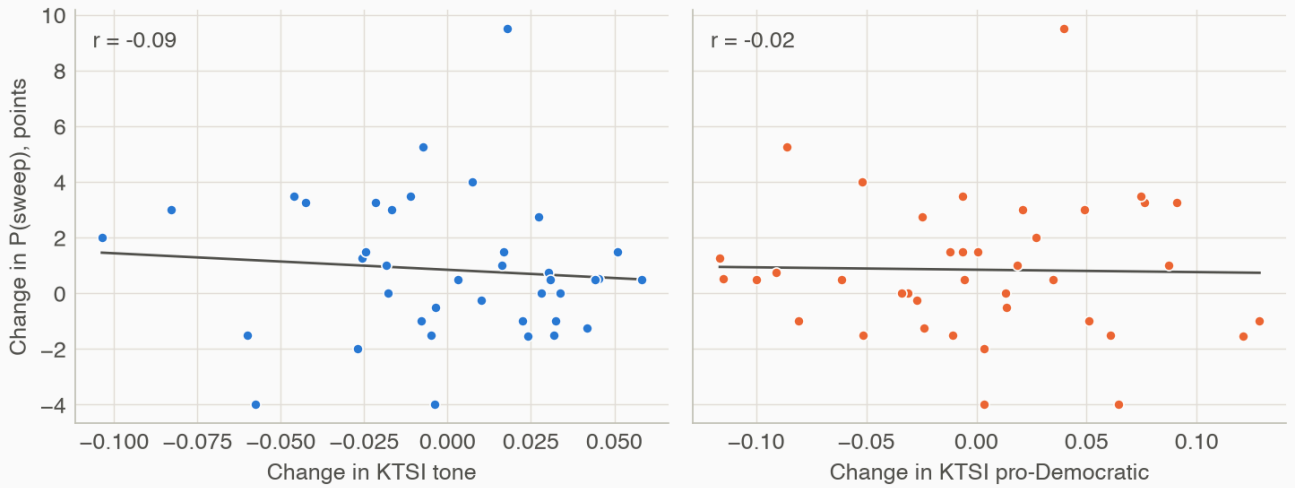
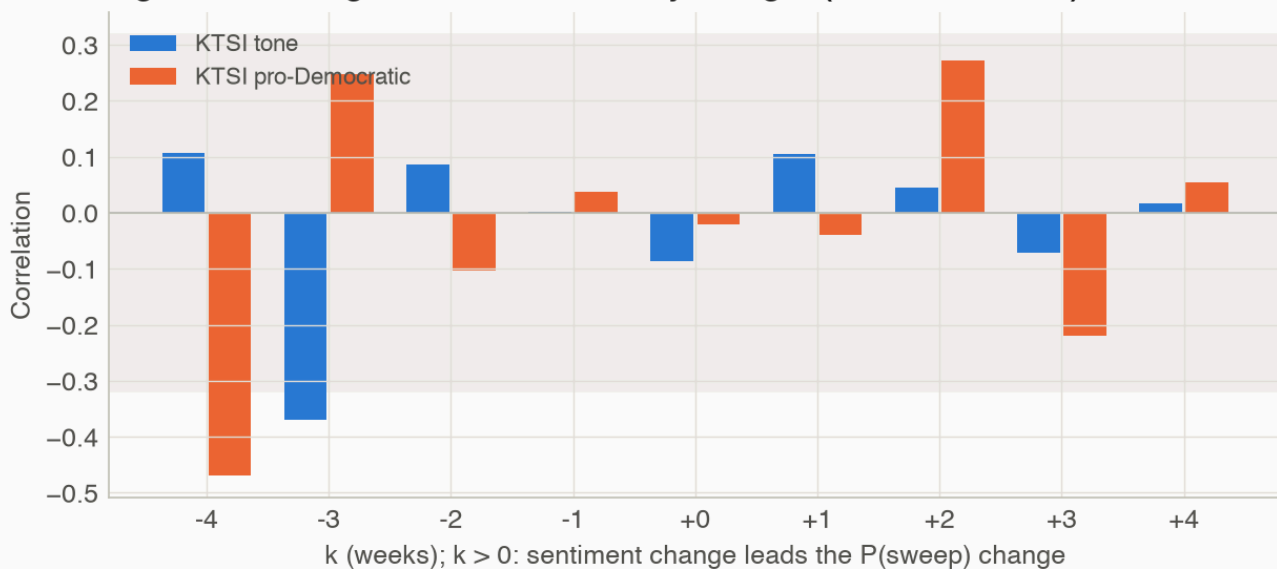


Table 5. Lead-lag correlations of weekly changes, $\text{corr}(\Delta \text{index at } t-k, \Delta P \text{ at } t)$, and Granger tests (2 lags)

Index	k=-4	k=-3	k=-2	k=-1	k=+0	k=+1	k=+2	k=+3	k=+4	Granger: index $\rightarrow$ P (p)	Granger: P $\rightarrow$ index (p)
KTSI tone (RoBERTa, salience-weighted)	0.11	-0.37	0.09	0.00	-0.09	0.10	0.04	-0.07	0.02	0.88	0.95
KTSI pro-Democratic (ABSA, salience-weighted)	-0.47	0.25	-0.10	0.04	-0.02	-0.04	0.27	-0.22	0.06	0.26	0.87
KTSI tone (VADER)	0.14	-0.14	-0.05	-0.03	-0.01	0.04	-0.02	-0.14	0.10	0.98	0.93
Tone: Economy	0.20	-0.20	0.14	-0.14	-0.29	0.22	-0.17	0.48	-0.29	0.22	0.21
Tone: Democracy	0.23	-0.41	0.14	0.01	-0.02	-0.04	0.21	-0.04	-0.10	0.45	0.63
Tone: Iran war	-0.11	-0.06	0.12	-0.12	-0.06	0.19	-0.27	-0.13	0.23	0.23	0.81
Tone: Corruption	-0.25	0.07	-0.14	0.05	-0.01	0.20	-0.10	-0.13	0.12	0.59	0.48
Tone: Immigration	0.04	-0.04	-0.14	0.12	-0.11	-0.04	-0.04	-0.04	0.14	0.85	0.77
Tone: Health care	-0.03	0.05	-0.03	-0.21	0.17	0.12	-0.10	0.07	0.01	0.49	0.70
Tone: AI/data centres	-0.11	0.18	-0.15	0.13	0.04	-0.02	0.07	-0.28	0.20	0.92	0.48
Tone: Tariffs	-0.07	-0.07	-0.14	0.26	-0.05	-0.17	0.14	0.03	-0.14	0.40	0.56
Pro-Dem: Economy	-0.42	0.16	-0.04	0.11	0.20	-0.24	0.26	-0.25	0.02	0.24	0.21
Pro-Dem: Democracy	-0.31	0.14	0.04	-0.08	-0.09	0.04	0.10	-0.04	-0.00	0.74	0.74
Pro-Dem: Iran war	-0.27	0.18	-0.09	-0.05	0.12	-0.17	0.20	-0.00	-0.07	0.45	0.88
Pro-Dem: Corruption	-0.18	-0.01	-0.06	0.20	0.03	0.02	0.14	-0.34	0.27	0.66	0.33
Pro-Dem: Immigration	0.23	0.12	-0.31	0.17	-0.04	0.12	0.16	-0.02	-0.04	0.49	0.13
Pro-Dem: Health care	0.04	-0.06	-0.20	0.17	-0.32	0.16	0.28	-0.11	-0.14	0.02	0.17
Pro-Dem: AI/data centres	-0.11	0.01	-0.28	-0.06	-0.27	-0.08	-0.19	-0.13	0.12	0.75	0.36
Pro-Dem: Tariffs	0.03	-0.12	0.02	0.04	-0.09	0.04	-0.10	0.06	-0.09	0.88	0.99

Figure 6. Lead-lag correlations of weekly changes (shaded: $\pm 1.96/\sqrt{n}$)



6. The midterm basket

Choosing the stocks. With Trump keeping the veto, a Democratic Congress cannot pass its own agenda. What a sweep changes is (i) whether Republicans can pass a second reconciliation bill, (ii) leverage over appropriations and shutdown deadlines, (iii) oversight and subpoenas, and (iv) whether the tariff and enforcement programmes are funded and extended. I selected channels where (i)-(iv) bite on an identifiable revenue line. Ten were fixed, with their stocks and expected signs, before looking at any 2026 return; two (AI power producers and big pharma) were added after a first estimate of the ten-channel basket, on the strength of the news screen described below. The ten-channel basket gives the same null result as the final one (weekly election beta -0.07 , $t = -0.4$; daily 0.08 , $t = 0.8$), so the addition does not drive any conclusion. *Expected to gain from a sweep:* hospitals and ACA/Medicaid insurers (funding deadlines used to restore the enhanced ACA subsidies that lapsed at the end of 2025 and to delay the Medicaid cuts in the 2025 reconciliation law), clean energy (no further rollback of the remaining credits), and tariff-exposed importers (no tariff extensions; forced votes). *Expected to lose:* immigration detention (ICE contracts depend on appropriations and survive oversight only under GOP control), defense (the GOP topline), oil and gas, crypto (market-structure legislation and a friendly Financial Services Committee), domestic steel (the other side of the tariff), for-profit education, AI power producers (federal pre-emption of state AI rules and fast-track permitting are GOP priorities; Democrats campaign on data-centre electricity costs, one of the key issues found in Section 3), and big pharma (a Democratic Congress can send Trump a codified most-favoured-nation bill he would likely sign). A screen of 308 headlines that pair the midterms with markets (weekly Google News queries, `collect_news.py` equities; counts in `output/table_news_sector_mentions.csv`) supports four of the channels and is silent on the rest: it ties a Democratic sweep most often to crypto (50 headlines mention crypto or bitcoin, typically around the stalled CLARITY Act) and to AI/data-centre stocks (18; JPMorgan's and Bank of America's warnings that a blue wave could hit them), calls defense stocks "out of favor" on blue-wave risk, and expects solar and power equipment to gain. It says nothing about hospitals, detention or pharma, which rest on the policy argument alone. Ameriprise's September 2026 note likewise lists clean energy as a sweep winner and traditional energy, pharmaceuticals and large technology as losers.

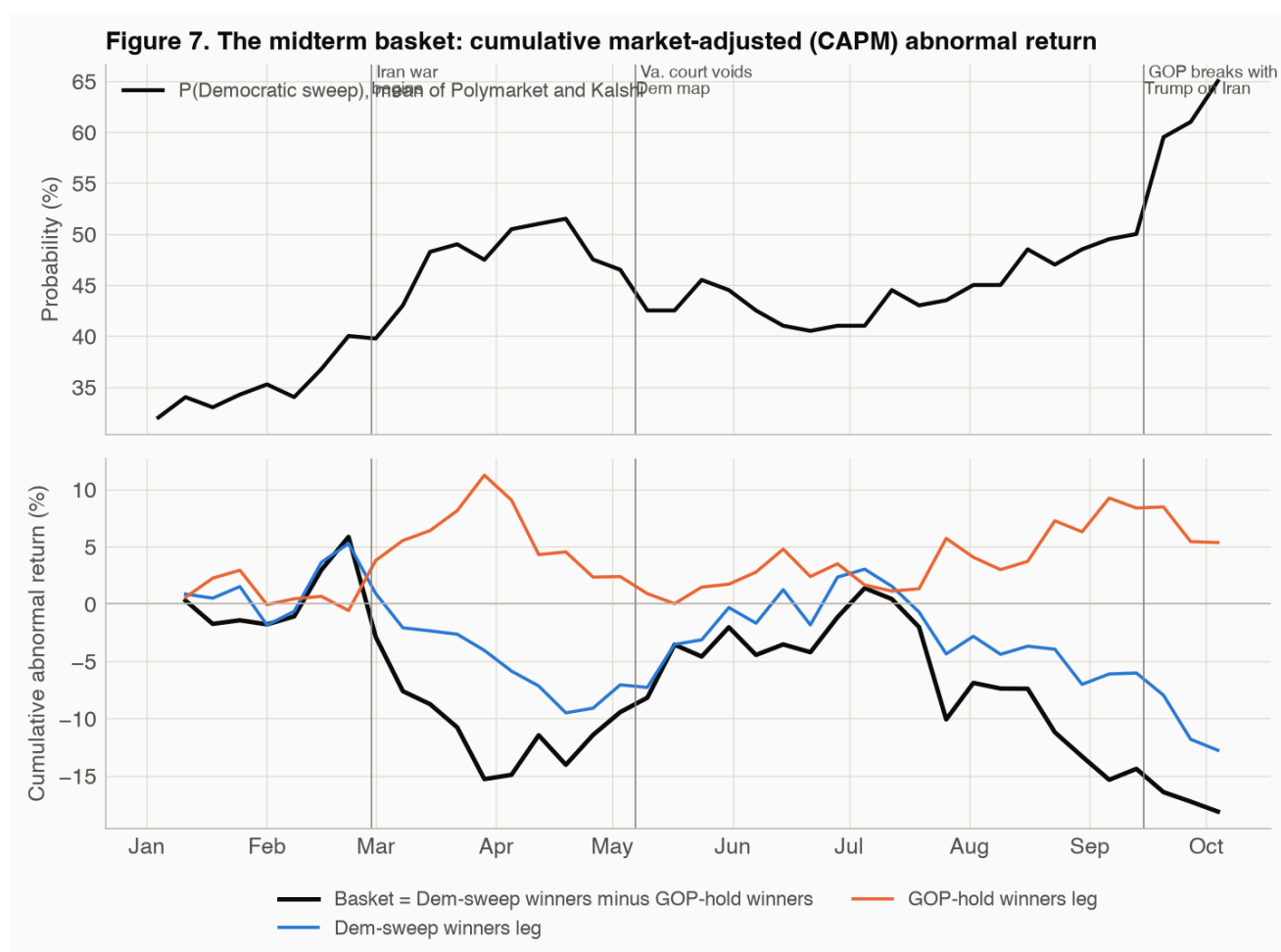
Market adjustment and the basket. For each stock I estimate a market model on 2025 daily returns against SPY and compute 2026 abnormal returns $AR = r - \alpha - \beta \cdot r(\text{SPY})$. The basket is long the Democratic-sweep-winner channels and short the Republican-hold-winner channels, equal-weighted

within each channel and across channels within each leg, so no single crowded channel dominates. Its cumulative abnormal return (CAR) is the market-adjusted performance the assignment asks for. An *election beta* is the slope of a stock's (or channel's) abnormal return on the change in P(sweep).

Table 6. Policy channels, 2026 cumulative abnormal returns and election betas

Channel	Stocks	Expected sign	CAR 2026 (%)	β daily (t)	β weekly (t)	Sign as expected
ACA / Medicaid insurers	CNC, MOH, OSCR, ELV	+	52.2	-0.09 (-0.56)	-0.53 (-1.74)	no
AI power / data centres	VST, CEG, TLN	-	-37.0	0.11 (0.55)	0.02 (0.06)	no
Clean energy	FSLR, ENPH, RUN, NEE, SEDG	+	-55.1	0.10 (0.36)	-0.12 (-0.33)	no
Crypto	COIN, HOOD, MSTR, CRCL	-	5.9	0.05 (0.24)	0.38 (0.93)	no
Defense	LMT, NOC, GD, HII, LHX	-	-32.2	0.02 (0.23)	0.17 (0.92)	no
Domestic steel	NUE, STLD, CLF	-	-9.5	-0.27 (-1.53)	-0.48 (-1.79)	yes
For-profit education	LOPE, STRA, PRDO	-	0.3	-0.11 (-0.70)	-0.03 (-0.22)	yes
Hospitals	HCA, THC, UHS, CYH	+	-28.6	0.03 (0.24)	-0.06 (-0.39)	no
Immigration detention	GEO, CXW	-	88.2	-0.29 (-1.20)	-0.57 (-1.89)	yes
Oil and gas	XOM, CVX, COP, OXY, DVN	-	33.4	-0.00 (-0.01)	-0.13 (-0.61)	yes
Pharma (drug pricing)	PFE, MRK, BMY, ABBV	-	15.0	-0.05 (-0.60)	-0.10 (-0.62)	yes
Tariff-exposed importers	NKE, DECK, HAS, BBY, DLTR	+	-7.6	-0.11 (-0.72)	-0.01 (-0.04)	no
BASKET		+	-17.8	0.05 (0.51)	-0.09 (-0.55)	
LONG leg		+	-9.8	-0.02 (-0.21)	-0.18 (-1.92)	
SHORT leg		-	8.0	-0.07 (-0.94)	-0.09 (-1.01)	

CAR: cumulative market-model abnormal return, 2 January - 6 October 2026, equal-weighted within the channel. β : abnormal return per unit change in P(sweep) (0.10 = 1% per 10 points), daily (16:00 ET prints, 189 days) and weekly (39 weeks); Newey-West t-statistics in parentheses. Expected sign: + if a Democratic sweep should help the channel.



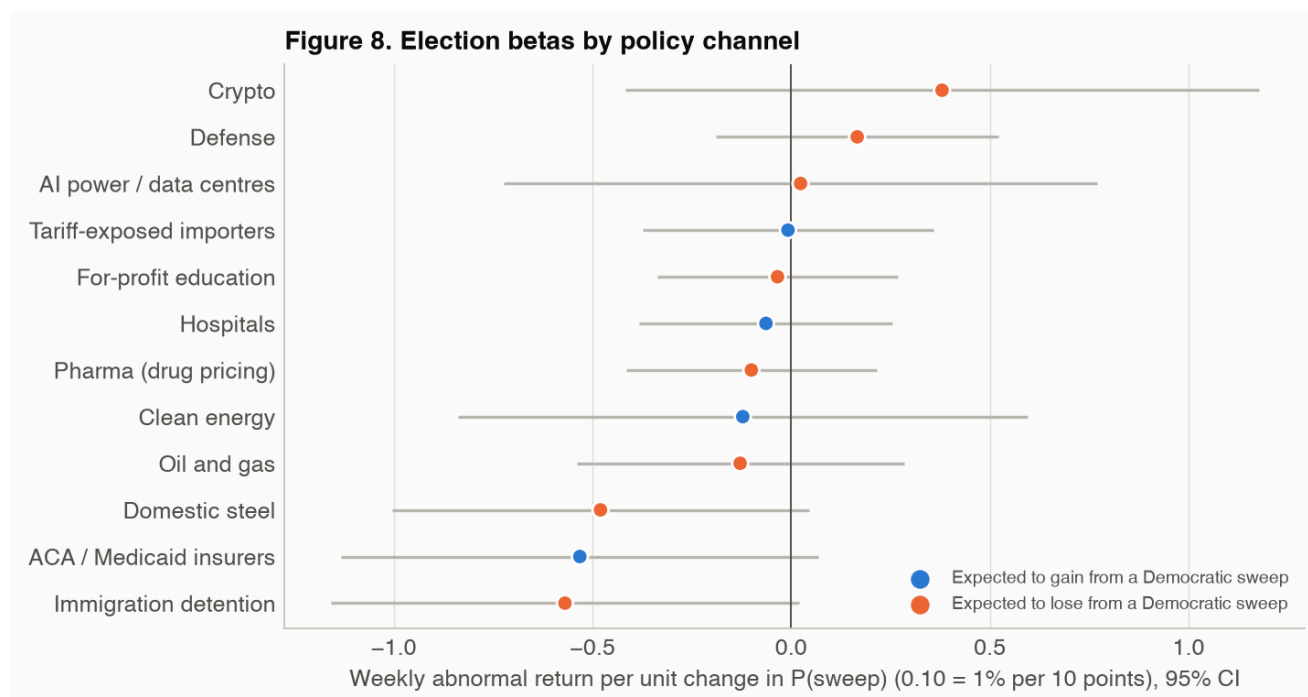


Table 7. The basket against sentiment and the sweep probability

Series correlated with the basket	r (levels: CAR)	NW t (levels)	r (weekly changes: AR)	NW t (changes)
KTSI tone	-0.33	-1.59	0.03	0.22
KTSI pro-Democratic	-0.11	-0.86	-0.07	-0.48
P(Democratic sweep)	-0.83	-9.28***	-0.05	-0.43

Regressor	(1) dP	(2) d tone index	(3) d pro-Dem index	(4) dP + controls	(5) d pro-Dem + controls	(6) all
$\Delta P(\text{sweep})$	-5.92 (-0.40)			-3.52 (-0.18)		-5.25 (-0.29)
$\Delta \text{KTSI tone}$		0.52 (0.05)				-16.11 (-1.29)
$\Delta \text{KTSI pro-Dem}$			-3.19 (-0.46)		0.99 (0.11)	-0.71 (-0.09)
Brent return				-14.92 (-2.58) *	-15.23 (-2.17)**	-18.71 (-2.37)**
$\Delta 10\text{y yield}$				5.75 (0.82)	5.93 (0.76)	7.84 (0.89)
R ²	0.003	0.000	0.004	0.125	0.124	0.155
Weeks	39	39	39	39	39	39

Top: correlation of the basket's cumulative abnormal return (levels) and weekly abnormal return (changes) with each series; Newey-West t-statistics. Bottom: weekly basket abnormal return (%) regressed on the weekly changes shown; Newey-West (2) t-statistics in parentheses.

Performance. The basket's cumulative market-adjusted return in 2026 is -17.8 percent: the Democratic-sweep-winner leg lost 9.8 percent and the Republican-hold-winner leg gained 8.0 percent (Figure 7). Read naively, the basket fell while the odds of a sweep doubled, and its level is strongly *negatively* correlated with P(sweep) ($r = -0.84$, Table 7). That correlation is a common trend, not a price of the election: in weekly abnormal returns the correlation is -0.05, the election beta is -0.09 ($t = -0.6$) weekly and 0.05 ($t = 0.5$) daily, and the betas estimated in January to May have a rank correlation of only 0.16 ($p = 0.29$) with those estimated in June to October. Of the 47 stocks, 21 have a weekly beta with the expected sign, fewer than a coin flip would give. On the twelve days with the largest moves in the sweep probability, the basket moved the way the policy logic predicts eight times, by 0.54 percent on average ($t = 1.4$): suggestive, not significant.

What drove it instead. Oil. Adding the weekly Brent return and the change in the 10-year yield to the regression raises the R² from 0.002 to 0.125, and the Brent coefficient is -14.9 ($t = -2.6$): a 10 percent rise in Brent costs the basket about 1.5 percent. On the short side, oil and gas (+33 percent abnormal),

which the Iran war lifted, and immigration detention (+88 percent) gained; on the long side, clean energy (−55 percent) and hospitals (−29 percent) fell for reasons unrelated to the election odds. The same war pushed the sweep probability up, so the basket and the odds trended in opposite directions without one pricing the other.

Sentiment and the basket. Neither sentiment index explains the basket: the correlation of weekly changes in the index with weekly abnormal returns is 0.03 (tone) and −0.07 (pro-Democratic), and their coefficients stay insignificant with the Brent and 10-year controls (Table 7). In levels the correlation with the tone index is −0.33 ($t = -1.6$).

The channels that did respond. Two channels have election betas with the expected sign and t-statistics near −1.9: immigration detention (−0.57: GEO and CoreCivic lose about 5.7 percent, market-adjusted, for a 10-point rise in the sweep probability) and domestic steel (−0.48). They are the two channels whose revenue depends most directly on Congress: ICE detention contracts on appropriations and oversight, steel on tariffs that a Democratic Congress would not extend. The ACA/Medicaid insurers have a beta of similar size with the *wrong* sign (−0.53, $t = -1.7$), and crypto, the sector the news most often tied to a sweep, has a positive (wrong-signed) beta, as does defense.

7. Conclusions

- 1. The midterm conversation is about the election itself, and the economy is the issue that matters.** Two-thirds of what is written about the midterms is horse race or fear for the integrity of the vote. Among policy issues, corruption, the Iran war, the economy and immigration lead, with health care, AI and tariffs behind. The topic model and the polls agree on the set of issues but not on the order: the polls put the economy first, online talk puts it fourth. The one issue whose sentiment moves with the market-implied odds in the expected direction is the economy (weekly change correlation −0.29), consistent with the polls and with the view of midterms as a referendum on the president's economy.
- 1. Sentiment measures the direction of the environment, not its changes.** The corpus is overwhelmingly anti-incumbent (77 percent of partisan documents lean against Republicans), which agrees with a sweep probability that doubled to 65 percent. But the composite index does not lead the odds, does not Granger-cause them, and its weekly changes are uncorrelated with theirs. The prediction markets move on events (the Iran war, court rulings on maps, Republican defections on the war) faster and more cleanly than any average of text. For forecasting the election, the markets are the better instrument; the text is useful for explaining which issue is moving them.
- 1. Weighting by attention is the wrong weighting.** The salience-weighted index puts 55 percent of its weight on election integrity, the most-discussed issue and the least informative about the odds. An index built to predict the market would weight the economy, which is 8 percent of the weight and the only issue with a significant change correlation. The loudest issue is not the one that moves votes.
- 1. The equity market has not priced a Democratic sweep into the policy-exposed cross-section.** A basket built from twelve policy channels did not trade the election: no relationship with weekly changes in the odds or in sentiment, unstable betas, and a −17.8 percent market-adjusted return explained by the oil shock of the Iran war. This is what one should expect when the president keeps the veto: a Democratic Congress can investigate, refuse to extend and refuse to fund, but cannot legislate, so most sector theses priced as "blue wave trades" have little cash-flow content.
- 1. Where Congress holds the purse, stocks respond.** Immigration detention and domestic steel, whose revenues depend on appropriations and on tariffs that a Democratic Congress would

not extend, fell in weeks when the sweep odds rose. That is the one place where the policy argument, the event contracts and the stock prices line up. With t-statistics near 1.9 on 39 weeks, it is a finding to test on the election-night reaction on 3-4 November, not a result to rely on.

8. Limitations

- **The social sample leans left.** Bluesky, Mastodon and Lemmy are left-of-centre platforms; right-leaning voices enter mainly through the Reddit communities, which contribute 2,094 documents. Salience is reported by source, and the index removes each source's baseline, but its level is not a measure of national opinion, and the issue ranking of right-leaning voters (who would weight immigration and the economy more) is under-represented.
- **Keyword selection.** Every document mentions the midterms, which over-selects talk about the election itself. The stage-2 issue queries add headlines per issue but do not fix this for social media.
- **LLM steps.** Topic labels and validation labels were produced by an LLM (AI_USE.md). The topic labels are listed in Appendix A for checking; the validation is agreement with an LLM annotator, not with human coders.
- **Coverage gaps.** Reddit contributes a random 15 percent of the planned windows (rate limits); 6,960 Bluesky posts were assigned to topics after the fit rather than in it; Bluesky contributes the top 100 posts a day, which over-weights widely shared posts.
- **Short sample, many tests.** Forty weekly observations and 32 issue-level change tests: individual issue results at the 5 percent level should be read with that in mind. The economy result survives dropping any single week but would not survive a Bonferroni correction.
- **No causal identification.** The correlations do not separate sentiment moving odds from both responding to events, and the Iran war moved sentiment, odds and the basket at the same time.
- **Market model.** Betas are estimated on 2025, before the war; abnormal returns inherit any change in betas, and channel results rest on two to five stocks each.

Appendix A. Topic model: every cluster, its LLM label and its issue

Topic	Docs	Social share	Issue	Label (LLM)	Keywords (c-TF-IDF)
26	363	0.59	AI, tech & data centres	AI industry, regulation and AI super PACs	ai, openai, industry, tech, meta, regulation, artificial
46	220	0.47	AI, tech & data centres	Data centres and electricity bills	data centers, centers, data, data center, center, ai data, electricity
73	157	0.85	Abortion & social issues	Trans rights	trans, transgender, lgbtq, queer, transrights, sports, beshear
72	150	0.71	Abortion & social issues	Religion, the Pope and Christian nationalism	pope, christian, leo, catholic, religious, religion, god
76	134	0.72	Abortion & social issues	Abortion and the abortion pill	abortion, fda, antiabortion, reproductive, access, circuit, sun
0	4447	0.98	Campaign & horse race	'Vote blue' mobilisation and get-out-the-vote chatter	vote blue, thank, wait, coming, lets, vote, vote vote
7	1302	0.47	Campaign & horse race	What to watch, voter guides, takeaways	watch, questions, races watch, guide, politics, issues, shaping
65	963	0.89	Campaign & horse race	Democratic strategy and the DNC	dems, strategy, winning strategy, affect, winning, democrats, bad news
9	832	0.20	Campaign & horse race	Primary results and voter guides	live results, primary, voter guide, congressional district, guide, primaries, results
13	728	0.89	Campaign & horse race	Campaign ads and messaging, taxpayer-funded pro-Trump ads	ad, ads, message, messaging, campaign ad, winning message, slogan
83	710	0.56	Campaign & horse race	Trump's popularity slips, Republicans brace	distance, trump voters, slips, gop, republicans brace, trump gop, distance trump

Topic	Docs	Social share	Issue	Label (LLM)	Keywords (c-TF-IDF)
51	578	0.90	Campaign & horse race	2028 and long-range predictions	presidential, predictions, focus, lets, nominee, aoc, sweep
24	569	0.44	Campaign & horse race	Polls, generic ballot, independents	poll, democrats hold, independents, democrats lead, enthusiasm, generic, harry enter
33	533	0.44	Campaign & horse race	Registration, early voting, voting from abroad	early voting, votefromabroad, request ballot, register, early, request, registration
12	518	0.56	Campaign & horse race	Texas politics and races	texas, politics uspol, uspol news, county, abbott, tarrant county, tarrant
87	514	0.50	Campaign & horse race	Warning signs and predictions for the GOP	warning signs, warning, signs, warns gop, predicts gop, gingrich, glaring
23	504	0.37	Campaign & horse race	Senate races, odds and control of Congress	senate races, races, odds, senate, seats, flip, senate seats
34	491	0.98	Campaign & horse race	Countdown posts ('N days until the midterms')	days, inauguration, progress, days vote, trump days, presidential, countdown
43	442	0.54	Campaign & horse race	Money in politics, super PACs, corporate spending	donations, spending, cash, pacs, money, million, billionaires
35	407	0.56	Campaign & horse race	Trump approval ratings	approval, trumps approval, rating, approval rating, trump approval, low, poll
39	400	0.73	Campaign & horse race	Socialists, DSA and 'communism' attacks	dsa, communists, communism, socialists, socialist, communist, democratic socialists
38	386	0.33	Campaign & horse race	Trump rallies ('cheat like hell')	rallies, trump rallies, cheat hell, oklahoma, pretend, pretend ballot, ahead trump
22	380	0.40	Campaign & horse race	California races and Newsom	california, newsom, californias, gavin newsom, gavin, arizona, mayoral
31	353	0.87	Campaign & horse race	Elon Musk's spending for the GOP	musk, elon, elon musk, musks, elon musks, pac, tesla
66	345	0.94	Campaign & horse race	MAGA banter	maga, magas, maga republicans, schmuck jeffries, vote maga, schmuck, maga comedy
25	337	0.30	Campaign & horse race	Crypto money, stocks and prediction markets	crypto, stocks, stock, markets, prediction markets, market, stock market
48	294	0.80	Campaign & horse race	Jeffries, Schumer and the Kushner meeting	jeffries, schumer, hakeem jeffries, hakeem, kushner, chuck, chuck schumer
28	280	0.70	Campaign & horse race	JD Vance	vance, jd, jd vance, trump vance, vances, vice president, vice
63	275	0.74	Campaign & horse race	Trump's war chest and campaign money	war chest, chest, slush, slush fund, fund, spend, insurrectionists
54	256	0.61	Campaign & horse race	Maine Senate race	maine, platner, collins, susan, graham platner, susan collins, maine senate
62	247	0.78	Campaign & horse race	Speaker Mike Johnson	johnson, mike johnson, mike, speaker, speaker johnson, speaker mike, johnsons
68	244	0.57	Campaign & horse race	Congressional retirements	reelection, retiring, retirement, house republican, seek, recess, retire
88	240	0.79	Campaign & horse race	Blue wave	blue wave, wave, blue, tsunami, blue tsunami, wave coming, tidal
49	231	0.34	Campaign & horse race	Michigan Senate race	michigan, elsayed, michigan senate, abdul elsayed, abdul, rogers, michigans
64	210	0.40	Campaign & horse race	Georgia races	georgia, georgias, atlanta, wabe, ossoff, journalconstitution, atlanta journalconstitution
44	207	0.45	Campaign & horse race	Texas Senate race: Talarico vs Paxton	talarico, paxton, ken paxton, ken, james talarico, texas senate, james
70	198	0.58	Campaign & horse race	Republican midterm convention in Dallas	convention, dallas, republican convention, convention dallas, gop convention, national convention, rnc
77	198	0.91	Campaign & horse race	McConnell and Graham seats, special elections	mitch, mcconnell, graham, lindsey, mitch mcconnell, lindsey graham, dead
80	194	0.52	Campaign & horse race	Young voters and generations	young, young voters, generations, gen, class war, truthwarriors, psychology
81	154	0.16	Campaign & horse race	Pennsylvania races	pa, pennsylvania, pennsylvanias, shapiro, guide, voter guide, bob

Topic	Docs	Social share	Issue	Label (LLM)	Keywords (c-TF-IDF)
78	136	0.29	Campaign & horse race	North Carolina	nc, north carolina, north, carolina, north carolinas, carolinas, state board
59	515	0.83	Congress, shutdown & fiscal policy	Shutdown, filibuster and the 'Big Beautiful Bill'	shutdown, passes, filibuster, avert, big beautiful, beautiful, house passes
15	650	0.91	Corruption & accountability	Impeachment if Democrats win the House	impeachment, impeach, convict, remove, impeached, impeach trump, trump impeached
41	612	0.92	Corruption & accountability	Corruption, investigations and prosecutions	corruption, felon, investigations, crime, convicted felon, convicted, crimes
11	482	0.97	Corruption & accountability	Epstein files and the cover-up	epstein, files, epstein files, epsteinfiles, epsteinclass, blanche, todd
29	437	0.88	Corruption & accountability	Administration officials and pardons (Noem, Bondi, Gabbard; Tina Peters)	shes, polis, kamala, tulsi, bondi, noem, pardons
69	262	0.70	Corruption & accountability	Trump: 'if we don't win, I'll get impeached'	impeached, dont win, trump warns, impeached trump, gotta win, win dont, hell impeached
85	190	0.99	Corruption & accountability	'Pedophile protectors' - Epstein-linked attacks on the GOP	pedophiles, dont forget, pedophile, afp, forget, gop rep, party dont
1	2728	0.94	Democracy & election integrity	Will Trump cancel the midterms? Martial law, Insurrection Act, emergency powers	cancel, hes, doesnt care, hell, knows, trump cancel, care
2	2513	0.98	Democracy & election integrity	'They're trying to steal/rig it' - Republicans cheating because they are losing	theyre, lose, steal, theyre trying, theyll, cheat, trying
16	1412	0.74	Democracy & election integrity	Trump's plan to nationalise, steal or subvert the election	steal, plot, nationalize, trump trying, plot rig, try steal, trump try
10	1276	0.99	Democracy & election integrity	Fascism, protests, general strike, resistance	fascism, protest, strike, fascists, protests, general strike, violence
4	991	0.55	Democracy & election integrity	Mail-in voting: USPS rules, executive order, court rulings	mail, mailin, mailin voting, usps, mail voting, postal, postal service
32	769	0.67	Democracy & election integrity	Election interference: FBI, Fulton County, officials, voting machines	officials, interference, fbi, integrity, threats, interfere, security
53	473	0.95	Democracy & election integrity	War as a pretext: draft, troops, martial law, cancelled elections	draft, military, war, troops, civil war, war trump, martial law
60	367	0.95	Democracy & election integrity	Trump will try to rig or cheat	rig, trump rig, cheat, rigging, rig trump, try rig, rigged
45	312	0.66	Democracy & election integrity	DOJ/DHS voter-roll purges, noncitizen hunts, federal agents at polls	doj, monitors, noncitizens, voter data, noncitizen, dhs, department
52	267	0.58	Democracy & election integrity	Voter ID and proof of citizenship	voter id, id, proof citizenship, passport, citizenship, certificate, birth
42	244	0.66	Democracy & election integrity	SAVE America Act	save act, save, america act, save america, act, pass save, act trump
86	125	0.59	Democracy & election integrity	Trump fires the Election Assistance Commission	commission, assistance commission, assistance, fires, eac, members, remaining
8	670	0.77	Economy & cost of living	Gas and diesel prices, oil, energy costs	prices, gas, gas prices, diesel, oil, price, gallon
17	476	0.60	Economy & cost of living	Economy, inflation, jobs, the Fed, recession	economy, inflation, economic, jobs, fed, rates, unemployment
36	296	0.62	Economy & cost of living	Trump's \$5,000 'dividend' promise if the GOP wins	dividend, adult, trump promises, gop wins, republicans win, promises, checks
47	244	0.48	Economy & cost of living	Affordability, housing, cost of living	affordability, housing, affordable housing, affordable, cost living, bipartisan, living
61	215	0.69	Economy & cost of living	Farmers, beef and food prices	farmers, beef, farm, rural, food, rural voters, food prices
21	467	0.74	Health care	Medicare, Medicaid, Social Security, ACA premiums and subsidies	medicare, medicaid, social security, healthcare, cuts, health, health care
56	196	0.57	Health care	MAHA, RFK Jr and public health	maha, rfk, rfk jr, jr, jrs, kennedy, health
5	780	0.84	Immigration & ICE	ICE: agents at polling places and airports, DHS funding, abolish ICE	ice, bannon, agents, airports, ice agents, steve bannon, dhs
27	333	0.44	Immigration & ICE	Latino voters, immigration and deportations	latino, latino voters, hispanic, immigration, deportation, latinos, mexico

Topic	Docs	Social share	Issue	Label (LLM)	Keywords (c-TF-IDF)
82	137	0.68	Immigration & ICE	Minneapolis federal crackdown	minnesota, minneapolis, minnesotas, flanagan, indigenous, mn, ict
3	1204	0.70	Iran war & foreign policy	Iran war, Strait of Hormuz, blockade, nuclear talks	iran, strait, iran war, hormuz, deal, iranian, war iran
40	356	0.96	Iran war & foreign policy	Ukraine, Russia, Putin and election interference	ukraine, russian, putin, russia, nato, europe, moscow
30	290	0.77	Iran war & foreign policy	Israel, Gaza and AIPAC	israel, proisrael, gaza, israelis, aipac, israeli, netanyahu
55	206	0.93	Iran war & foreign policy	Venezuela, Greenland, Cuba	venezuela, greenland, cuba, maduro, venezuelan, thiel, oil
75	121	0.07	Iran war & foreign policy	Iran war-powers resolutions in Congress	war powers, powers, resolution, powers resolution, iran war, house votes, vote war
84	442	0.92	Other / noise	Podcasts and world-news roundups	podcast, lebanon, joins, radio, palestinians, podcasts, worldnews news
79	416	0.99	Other / noise	Speculation about after the midterms	memoir, hopefully, sooner, conveniently, guess, soviet, itll
71	340	0.86	Other / noise	News-bot 'clickbait' summaries	clickbait, ia, ia clickbait, original title, clickbait users, users clickbait, title
67	208	1.00	Other / noise	Hashtag spam (VisibilityBrigade)	dday, fascism, boycott, ballroom, freedom, activism, swamp
-1	206	0.71	Other / noise	HDBSCAN noise	rome, memoir, search, song, clooney, bluesky, accounts
74	189	0.86	Other / noise	China/Xi and the White House ballroom (mixed)	china, ballroom, bunker, chinese, xi, kennedy center, kennedy
58	183	0.87	Other / noise	Non-English posts / North Carolina Senate	die, van, cooper, en, op, er, von
57	159	0.01	Other / noise	India: Congress party voter-roll (SIR) dispute - off topic	sir, alleges, voters congress, removal, row, india, flags
6	703	0.67	Redistricting & voting rights	Supreme Court: Voting Rights Act, voter-purge database, Alito retirement	alito, scotus, supreme, supreme court, court, courts, rights act
19	470	0.49	Redistricting & voting rights	Redistricting and gerrymandering	redistricting, gerrymandering, districts, maps, gerrymander, redraw, map
20	408	0.57	Redistricting & voting rights	Black voters, Louisiana v. Callais, Voting Rights Act	black, louisiana, black voters, rights act, voting rights, racist, callais
18	371	0.53	Redistricting & voting rights	Virginia redistricting referendum	virginia, redistricting, virginians, virginias, playing field, virginia redistricting, april
50	335	0.45	Redistricting & voting rights	Missouri and Alabama maps at the Supreme Court	missouri, map, congressional map, alabama, supreme court, court allows, supreme
37	232	0.31	Redistricting & voting rights	Florida: DeSantis map	florida, desantis, floridas, vote primary, ron, nixon, aug
14	448	0.72	Tariffs & trade	Tariffs, trade war with Canada, Supreme Court tariff ruling	tariffs, canada, trade, contempt, tariff, contempt congress, fauci

Appendix B. The 47 stocks

Ticker	Channel	Sign	CAPM β (2025)	CAR 2026 (%)	Election β weekly (t)	β Jan-May	β Jun-Oct
HCA	Hospitals	+	0.26	-40.40	0.10 (0.52)	0.40	-0.24
THC	Hospitals	+	0.95	-6.38	-0.32 (-1.35)	-0.33	-0.47
UHS	Hospitals	+	0.63	-39.38	-0.01 (-0.06)	0.07	-0.21
CYH	Hospitals	+	1.16	-28.44	-0.02 (-0.07)	0.43	-0.45
CNC	ACA / Medicaid insurers	+	0.15	72.69	-1.03 (-1.71)	-1.87	-0.27
MOH	ACA / Medicaid insurers	+	0.13	52.84	-0.20 (-0.50)	-0.29	-0.14
OSCR	ACA / Medicaid insurers	+	1.04	63.55	-0.47 (-1.13)	-0.66	-0.32
ELV	ACA / Medicaid insurers	+	0.16	19.83	-0.44 (-2.51)	-0.57	-0.31
FSLR	Clean energy	+	1.05	-82.16	-0.30 (-0.75)	-0.04	-0.39
ENPH	Clean energy	+	1.05	58.42	-0.24 (-0.41)	-0.49	0.29
RUN	Clean energy	+	1.55	-166.29	0.30 (0.76)	0.15	0.60

Ticker	Channel	Sign	CAPM β (2025)	CAR 2026 (%)	Election β weekly (t)	β Jan-May	β Jun-Oct
NEE	Clean energy	+	0.35	-14.84	-0.23 (-1.97)	-0.25	-0.18
SEDG	Clean energy	+	1.97	-70.64	-0.14 (-0.22)	-0.98	0.91
NKE	Tariff-exposed importers	+	1.02	-47.71	-0.08 (-0.50)	-0.02	-0.14
DECK	Tariff-exposed importers	+	1.31	22.49	0.37 (1.05)	1.02	-0.11
HAS	Tariff-exposed importers	+	1.06	-17.75	-0.24 (-1.61)	-0.11	-0.38
BBY	Tariff-exposed importers	+	1.41	38.46	0.23 (0.91)	0.07	0.35
DLTR	Tariff-exposed importers	+	0.63	-33.50	-0.32 (-0.95)	-0.23	-0.43
GEO	Immigration detention	-	0.96	112.03	-0.69 (-2.04)	-0.99	-0.44
CXW	Immigration detention	-	0.58	64.46	-0.45 (-1.46)	-0.41	-0.59
LMT	Defense	-	0.19	5.16	0.23 (0.93)	0.38	0.12
NOC	Defense	-	0.05	-31.97	0.36 (1.62)	0.54	0.24
GD	Defense	-	0.53	-19.96	-0.18 (-1.45)	-0.20	-0.17
HII	Defense	-	0.57	-69.56	0.19 (0.70)	0.42	-0.00
LHX	Defense	-	0.40	-44.44	0.24 (1.30)	0.43	0.15
XOM	Oil and gas	-	0.52	24.88	-0.26 (-1.70)	-0.33	-0.20
CVX	Oil and gas	-	0.65	31.04	-0.01 (-0.03)	0.10	-0.09
COP	Oil and gas	-	0.97	38.71	-0.16 (-0.67)	0.02	-0.32
OXY	Oil and gas	-	0.96	50.52	0.04 (0.10)	0.40	-0.22
DVN	Oil and gas	-	1.27	22.01	-0.25 (-1.08)	-0.33	-0.19
COIN	Crypto	-	2.16	-2.94	0.48 (1.04)	0.42	0.47
HOOD	Crypto	-	2.61	-83.83	0.05 (0.10)	-0.12	0.06
MSTR	Crypto	-	2.08	67.19	0.52 (0.74)	-0.28	1.17
CRCL	Crypto	-	3.13	43.38	0.48 (0.90)	0.67	0.44
NUE	Domestic steel	-	1.20	15.06	-0.53 (-3.14)	-0.75	-0.29
STLD	Domestic steel	-	1.21	1.74	-0.39 (-1.79)	-0.69	-0.06
CLF	Domestic steel	-	1.99	-45.23	-0.52 (-0.99)	-1.16	0.01
LOPE	For-profit education	-	0.59	-7.86	-0.02 (-0.16)	0.22	-0.27
STRA	For-profit education	-	0.53	10.41	-0.16 (-1.13)	0.05	-0.35
PRDO	For-profit education	-	0.51	-1.80	0.08 (0.33)	0.64	-0.39
VST	AI power / data centres	-	1.95	-21.91	0.18 (0.48)	0.61	-0.18
CEG	AI power / data centres	-	1.82	-36.80	-0.09 (-0.21)	0.39	-0.56
TLN	AI power / data centres	-	1.55	-52.40	-0.02 (-0.05)	0.05	-0.05
PFE	Pharma (drug pricing)	-	0.46	15.64	-0.09 (-0.55)	-0.10	-0.10
MRK	Pharma (drug pricing)	-	0.38	27.98	0.10 (0.50)	0.34	-0.13
BMJ	Pharma (drug pricing)	-	0.29	17.66	-0.11 (-0.75)	0.09	-0.30
ABBV	Pharma (drug pricing)	-	0.39	-1.43	-0.30 (-1.17)	-0.43	-0.27

The twelve trading days with the largest 16:00-to-16:00 moves in P(sweep)

Date	$\Delta P(\text{sweep})$, points	Basket AR (%)	Dem-winner leg (%)	GOP-winner leg (%)
2026-01-26	2.25	2.47	-0.28	-2.75
2026-02-17	4.25	0.52	0.75	0.23
2026-03-09	2.75	0.37	0.01	-0.36
2026-04-27	-2.50	1.08	1.12	0.05
2026-08-11	2.00	-0.99	-0.15	0.84
2026-09-14	2.50	1.28	1.33	0.05
2026-09-15	2.50	-1.44	-1.10	0.34
2026-09-16	2.50	0.17	-0.44	-0.61
2026-09-17	2.50	-0.02	0.16	0.17
2026-09-21	2.00	1.22	-1.14	-2.36
2026-09-22	2.00	0.99	0.17	-0.82
2026-09-24	-3.00	-2.94	-2.14	0.80